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LONDON AND TENDON  
JUDGMENT  
LEASE - CONSTRUCTION

IN THE SUPREME COURT OF JUDICATURE

COURT OF APPEAL

REVIEW OF RENT CLAUSE

A REASONABLE RENT FOR THE DEMISED PREMISES

(Appeal of Plaintiffs from Order  
of Mr. Justice Whitford, London,  
February 3, 1976.)

Royal Courts of Justice,

Tuesday, 8th February, 1977.

Premises damaged by fire - extensive improvements

Before:

LORD JUSTICE CAIRNS

LORD JUSTICE ROSKILL and

LORD JUSTICE BRIDGE.

Whether in determining reasonable rent  
improvements <sup>DEPR.</sup> RE (LEASERS) ARE TO BE DISREGARDED

PONSFORD and Ors.

(Appellants -  
Plaintiffs)

CUPR v J & F STONE PROPERTY CO LTD APPLICATION

-v-

H.M.S. AEROSOLS LTD.

(Respondents -  
Defendants)

Paid (LEASERS) RESPOND. ALLOWED

REMARK L.J. DISSENTING

CONSTITUTIONAL LEAVE

JUDGMENT

A IN THE SUPREME COURT OF JUDICATURE,

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of Mr. Justice Whitford, London,  
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Before:

C LORD JUSTICE CAIRNS,  
LORD JUSTICE ROSKILL and  
LORD JUSTICE BRIDGE.

D FORSFORD and Ors. (Appellants -  
Plaintiffs)

-v-

E H.M.S. AEROSOLS LTD. (Respondents -  
Defendants)

F (Transcript of the Shorthand Notes of the Association of Official  
Shorthandwriters, Ltd., Room 392 Royal Courts of Justice, and 2,  
New Square, Lincoln's Inn, London, W.C.2.)

MR L. PRICE, Q.C. and MR BRUCE COLES, (instructed by Messrs. Gamlen) appeared on behalf of the Appellants (Plaintiffs).

G MR D. NICHOLLS, Q.C. and MR B. RICH, (instructed by Messrs. Tarlo,  
Lyons & Aukin) appeared on behalf of the Respondents (Defendants).

H J U D G M E N T.

A LORD JUSTICE CAIRNS: This is an appeal from a judgment of Mr. Justice  
Whitford in proceedings to decide the meaning of a rent review  
clause in a lease. The lease was dated 19th August, 1968, and by  
it the plaintiffs' predecessors, as lessors, granted to the  
B defendants, as lessees, a lease of a factory for 21 years from the  
24th June, 1968. The rent was to be £9,000 a year for the first  
seven years, but for the second seven years and the third seven years  
it was to be £9,000 a year or a reasonable rent for the demised  
C premises if higher. In default of agreement such rent was to be  
determined by a surveyor.

In 1969 the premises were burnt down. They were rebuilt  
from proceeds of fire insurance, but, at the expense of the defend-  
D ants, the factory was improved by making certain additions. Such  
improvements required the licence of the lessors, which was granted.  
When it came to assessing the rent for the second seven-year period  
the plaintiffs claimed that the rent should be assessed as a  
E reasonable rent for the premises as they then were, without regard  
to their history. The defendants contended that the rent should  
be a reasonable rent for the premises without the improvements which  
F they had paid for. As the parties could not agree, a surveyor was  
appointed, and the plaintiffs then took proceedings by originating  
summons to obtain a decision in the court as to which was the proper  
basis of assessment for the surveyor to apply. Mr. Justice Whitford  
G decided in favour of the defendants, and the plaintiffs appeal.  
There was a second question raised by the originating summons, but  
the decision on it is not under appeal.

H The relevant terms of the lease were as follows. It was a  
lease of a factory at Barking, called in the lease "the demised

A premises", for 31 years from the 24th June, 1968, yielding and  
paying a yearly rent of £9,000 "during the first seven years of  
the said term and during the second and third seven years of the  
term .... the sum of NINE THOUSAND POUNDS aforesaid or such sum  
B whichever be the higher as shall be assessed as a reasonable rent  
for the demised premises for the appropriate period such assessment  
to be made in the following manner that is to say: (a) Such assess-  
ment as shall be agreed between the parties hereto in writing" -  
C and there were certain provisions as to the date by which that  
agreement should be reached - "(b) In the event of the parties  
hereto failing to reach such agreement as aforesaid on or before  
the dates appointed .... then the reasonable rent for the second  
D and third periods shall be fixed or assessed by an independent  
surveyor ...." Then there followed provisions for the appointment  
of a surveyor by agreement of the parties, or failing agreement,  
E appointment by the President for the time being of the Royal  
Institute of Chartered Surveyors.

The lessees' covenants contained a repairing covenant, and  
a covenant by sub-clause (10) that the lessees "Will not commit waste  
F nor make any additions to or external or structural alterations in  
the demised premises without the consent in writing of the Lessor  
first had and obtained." Then in sub-clause (21) a covenant not,  
without consent in writing, not to be unreasonably withheld, to  
G erect any further building erection or improvement, and so forth.

The licence for the improvements which were in fact made was  
a document dated 14th November, 1969, where in Clause 1 it is  
provided: "The Landlords hereby grant unto the Tenants licence to  
H execute in and upon the demised premises the several alterations and

A        works indicated in the plan annexed ...."    And Clause 3: "It is  
hereby agreed and declared that all the Lessees' covenants and  
conditions contained in the Lease which are now applicable to the  
premises demised thereby shall continue to be applicable to the  
B        same when and as altered and shall extend to all additions which  
may be made thereto in the course of such alterations."

         The improvements and additions that were made were substantial  
and cost the defendants £31,780.

C        It is common ground that once the improvements had been made  
the additions to the premises became included in the demised  
premises.    Considering simply the words of the clause we have to  
D        construe, the rent review clause, I have some difficulty in seeing  
how a reasonable rent for the whole of the demised premises can be  
assessed by determining a reasonable rent for part of the premises.

         In certain statutes it has been expressly provided that  
E        rents to be determined by arbitration or by the court are to be  
fixed without regard to improvements made by the tenant.    One such  
provision is in Section 8 of the Agricultural Holdings Act 1948,  
which relates to arbitration to assess the rent of an agricultural  
F        holding in certain circumstances.    Another is Section 34 of the  
Landlord and Tenant Act 1954, as amended by the Law of Property Act  
1969, which relates to the assessment by the court of the rent for  
a new tenancy of business premises granted under Part 11 of the Act  
G        of 1954.    It may be said that those provisions indicate Parliament's  
view that a tenant who has paid for improvements should not have to  
pay an increased rent because of them.    On the other hand, it may  
be said that Parliament by making such express provisions recognised  
H        that without them the arbitrator or the court would have to assess  
the rent for the premises as they stood with the improvements.

A           Mr. Justice Whitford took into account that if at the  
expiration of the lease a new lease were to be granted under the  
Act of 1964 the improvements would, under Section 34, fall to be  
left out of account. It would be, he suggested, absurd if the  
B           plaintiffs could obtain for fourteen years a rent bringing into  
account the improvements, and then under a new lease that factor  
had to be left out of account. Mr. Price, for the plaintiffs,  
C           points out that this would not necessarily mean that the rent would  
have to be reduced for a new lease: by 1989 all rents may have  
risen so much that no reduction would occur.

          Mr. Justice Whitford also considered what the position would  
D           have been if the tenant had allowed the premises to fall into  
disrepair. If the defendants are right in their contentions here,  
would it mean that if the premises were by their default in  
disrepair at the end of the first seven years that disrepair would  
E           have to be left out of account in assessing the revised rent. Mr.  
Price's answer to that is that in that case the tenants would be  
estopped from relying on their own default.

          Mr. Nicholls, for the defendants, naturally stresses the  
F           apparent unfairness to the defendants, who by greatly improving the  
plaintiffs' property would, on the plaintiffs' contentions, have to  
pay for the improvements twice over, once in the actual cost of the  
works and then in an increased rent. That this is hard on the  
G           tenants must be conceded. It is pointed out that under Section 19  
(3) of the Landlord and Tenant Act 1927 the plaintiffs could not  
have required an increased rent as a condition of granting a licence  
for the improvements. But that section is not concerned with rent  
H           review clauses, and if the defendants have in fact agreed to terms

A     which work unfortunately for them it is not for the court to  
relieve them of their bargain.

B             Next Mr. Nicholls says that the purpose of rent review is  
simply to cope with inflation. That is no doubt the main purpose  
C     of such a clause, interpreting the word "inflation" in a wide sense,  
to include not only a fall in the value of the pound, but a general  
increase in letting values. There can, however, be no doubt that  
under the clause we are considering other factors would have to be  
D     taken into account when a reasonable rent is assessed: for example,  
any improvements made at the landlords' expense or any improvements  
or deterioration in the neighbourhood which affected the value of  
the property.

E             Two cases were cited to us where the court has considered  
statutory provisions enabling the court to fix a reasonable rent,  
and has interpreted statutory language in a way which took into  
account factors other than the market value of the premises at the  
F     time when the rent was assessed. The cases are John Kay Ltd. -v-  
Kay (1952 2 Q.B. p.258) in the court of appeal, and English Exporters  
(London) Ltd. -v- Eldonwall (1973 1 Ch. p.415), a decision of Mr.  
Justice Megarry. In the first of these cases the Act concerned  
was the Leasehold Property (Temporary Provisions) Act 1951, Section  
12 of which required the court to consider "all the circumstances  
of the case". The second authority concerned the fixing of an  
G     interim rent under Section 24A of the Act of 1954, added by the Law  
of Property Act 1969, and the key words were, "rent which it would  
be reasonable for the tenant to pay". I do not consider that  
these authorities assist in the construction of the relevant clause  
H     in the present case.

A           The nearest case to the present is another decision of Mr.  
Justice Megarry in the unreported case of Guff -v- J. & F. Stone  
B           Property Company Ltd., decided on the 13th December, 1973. I shall  
read some passages from the transcript of the judgment to show the  
similarities with the present case and the differences, and the  
reasoning by which Mr. Justice Megarry reached a conclusion  
consonant with the plaintiffs' contention here. On page 2 of the  
transcript the learned judge said: "In 1945 the plaintiff, to whom  
C I shall refer as 'the landlord', granted a 21-years lease of  
business premises to a company called J. & F. Stone Lighting & Radi-  
Limited, which I shall call the 'Lighting Company'. The lease was  
at the modest rent of £275 a year, rising by stages to £325. In  
D 1954 the Lighting Company sought and obtained the landlord's  
permission to make certain substantial alterations to the premises;  
and in due course the work was done. These were building  
alterations which materially increased the area of the buildings.

E           "In 1966, when the lease was running to its end, there were  
proceedings in the Bow County Court in which the Lighting Company  
sought a new tenancy under the Landlord and Tenant Act 1954.  
F On the 3rd March, 1966, the Court made an order for the grant of  
a new tenancy at a rent of '£2400 per annum with rent review at  
the end of seventh year. New tenancy for 14 years to commence at  
termination of current tenancy. (Under 3.64 of Landlord and  
G Tenant Act)'. The rent fixed by the court no doubt gave effect  
to section 34 of the Landlord and Tenant Act 1954, which included  
a provision for the disregarding of '(e) any effect on rent of any  
improvement carried out by the tenant or a predecessor in title of  
H his otherwise than in pursuance of an obligation to his immediate



A landlord.' Having obtained that order for a new tenancy, the  
Lighting Company requested the landlord to grant the lease not to  
it, but to another company named J. & F. Stone Property Company  
Limited, which I shall call the 'Property Company'. That company  
B is the defendant to this summons. There is no evidence before me  
as to the relationship between these two companies, though one  
would infer from their names and the events that there is some  
connection.

C "A form of lease was duly agreed between the landlord and  
the Property Company, and a lease for 14 years was granted, bearing  
date the 21st November, 1966. This was a demise of 'ALL THAT  
D messuage or dwellinghouse shop and premises known as Number 80  
High Street North in the London Borough of Newham TOGETHER WITH  
the yard or garden thereto'. In accordance with the order of the  
County Court, provision was made for rent review. The clause in  
E question reads as follows: 'PROVIDED ALSO AND IT IS HEREBY  
DECLARED that the yearly rent payable by the Lessee during the last  
Seven years of the term hereby granted shall be the sum of TWO  
THOUSAND FOUR HUNDRED POUNDS aforesaid or such sum as shall be  
F assessed as a reasonable rent for the demised premises for the said  
period such assessment to be made in the following manner that is  
to say .....". Then there follow provisions substantially  
similar to the lease under consideration in this case. Having  
G cited those terms, the learned judge went on: "When the rent  
review clause fell to be operated, there were at first negotiations  
between the parties, but in the end a surveyor was appointed. The  
valuers of each party nevertheless continued their negotiations,  
H and there is some evidence before me to the effect that if the

A improvements are to be disregarded, the rent will be something of the order of £3,500, whereas if the improvements are to be taken into account, the rent will be of the order of £4,600."

B At the top of page 4 the learned judge said: ".... Mr. Friday" - who was appearing in that case for the tenant - "advanced no contention, whether based on section 34 or otherwise, that the improvements should be wholly disregarded. His case was that while he accepted that the improvements should not be wholly disregarded, C he asserted that, to put it shortly, the surveyor should temper the effect to be given to the improvements by what he considered to be reasonable." No such concession was made in the present case.

D The learned judge referred to the case of John Kay Ltd. -v- Kay, quoting from it the words of Sir Raymond Evershed, Master of the Rolls, thus: "'The reasonable rent is arrived at by applying the subjective test of what the judge thinks is right and fair, as distinct, for example, from the objective test of what the evidence E shows is the market rent.'"

Mr. Justice Megarry cited the Eldonwall case, and then continued: "I go back to the lease. When it was executed, the improvements had already been made some twelve years earlier. The demise plainly included the improvements as being part of the premises. Not a word is said in the lease about the improvements. The provision for assessing the rent is expressed solely in F valuation terms. There is nothing save the expression 'reasonable rent' to give colour to the view that anything save pure matters of valuation are to be considered. The ancient principle is that what the tenant makes part of the demised premises endures for the G landlord's benefit, subject to rules such as those relating to H

A tenants' fixtures and to any statutory qualifications of the  
principle. The limited qualification made by section 34 (c) of  
the Landlord and Tenant Act 1954 (on which see East Coast Amusement  
Company Limited v. British Transport Board (1964 A.C. 58) )  
B admittedly contributes nothing to the determination of this case.  
Though this qualification was relevant when the Bow County Court  
was determining the initial rent, the rent for the second seven  
C years is purely a creature of the lease. In those circumstances,  
it seems to me to put an impossibly heavy burden on the word  
'reasonable' in this lease to say that it allows and requires the  
surveyor to explore questions of who paid for the improvements, and  
D in appropriate cases to allow some discount for this, calculated on  
an unspecified basis. What sort of deduction should be allowed  
if the improvements were paid for by the tenant itself, or partly  
by the tenant and partly by a subsidiary company, an associated  
E company, or a related company, or wholly by such a company? If  
one accepts to the full that 'reasonable' means 'right and fair',  
one may still say that it means 'right and fair' in a valuation  
sense, without extending it to the whole range of moral and ethical  
F considerations. I say nothing of the improbable case of a  
reasonable rent which is to be assessed not by a surveyor but by a  
philosopher or theologian; but I do say that in the absence of  
provisions sufficiently indicating the contrary, a provision for a  
G reasonable rent to be assessed by a surveyor to be appointed, in  
default of agreement, by the President of the Royal Institution of  
Chartered Surveyors will not cast the surveyor loose upon uncharted  
and perhaps unchartable ethical seas such as these. The word  
H 'reasonable' no doubt requires the surveyor to reject a rent which,

A        though obtainable in the open market by reason of special circumstances, appears to him to exceed the rent for the premises which is right and fair; but I do not think that it does more than that."

B                Then later Mr. Justice Megarry said: "The question is not  
C        that of the rent 'which it would be reasonable for the tenant to pay', but that of 'a reasonable rent for the demised premises', and that, as it seems to me, is a matter not affected by who paid for the premises or any part of them. In my view the surveyor must take the premises as he finds them, and then determine what he considers to be a reasonable rent for those premises, regardless of who provided them or paid for them."

D                It is true that Mr. Friday had made a concession in arguing  
E        that case which may have hampered his argument; it is true that the improvements in that case had been made long before the new lease was negotiated; and it is also true that the new lease was agreed upon following proceedings in court under the Act of 1954  
F        and the grant of a new lease by the court. But, nevertheless, I find the basis on which Mr. Justice Megarry reached his decision to be directly applicable to the present case, and while it is not binding on us, I treat with great respect a decision of a judge so eminent in the field of landlord and tenant: and, moreover, I find his reasoning compelling.

G                Here too the assessment is to be made by a surveyor. Further,  
H        the plaintiffs' case, in my opinion, is strengthened by the terms of the licence whereby all the conditions contained in the lease are to apply to the premises "when and as altered" and to extend to "all additions which may be made thereto in the case of such alteration."

A           It is not without regret that I reach the conclusion that  
the appeal should be allowed and judgment entered for the plaintiffs.

LORD JUSTICE ROSKILL:   The answer to the question raised in paragraph  
1 of the originating summons taken out by the plaintiff-lessors on  
B   the 9th June, 1975, turns upon the true construction of seven words  
in Clause 1 of the lease dated 19th August, 1968: "a reasonable  
rent for the demised premises".   That lease was for 21 years from  
C   the 24th June, 1968, at a rent of £9,000 per annum for the first  
seven years, and for each of the two ensuing periods of seven years  
that sum or such sum, whichever be the highest, as shall be  
assessed as a reasonable rent for the demised premises for the  
D   relevant period, that assessment to be made if the parties failed  
to agree by an independent surveyor appointed in accordance with  
the elaborate provisions in the latter part of Clause 1 of the  
lease.

E           Shortly after the inception of the lease the demised premises  
were damaged by fire.   They were repaired, and in addition the  
lessees, with the licence of the lessors, effected extensive  
improvement to the demised premises at a total cost of just under  
F   £32,000: (see the details of the improvements set out at page 85  
of the bundle).   The licence was granted on the 14th November, 1969.  
Clause 3 of the licence, to which my Lord has referred, but which  
I will read, provides: "It is hereby agreed and declared that all  
G   the Lessees covenants and conditions contained in the Lease which  
are now applicable to the premises demised thereby shall continue  
to be applicable to the same when and as altered and shall extend  
to all additions which may be made thereto in the course of such  
H   alterations."

A           The short point that we have to decide is whether in deter-  
mining the reasonable rent for the demised premises for the second  
seven-year period the improvements thus effected by the lessees at  
their own expense are to be disregarded. The lessees assert, and  
B Mr. Justice Whitford has held, that if those improvements are not  
disregarded, they, having spent that not inconsiderable sum the  
benefit of which is likely to enure to the lessors upon the expiry  
of the lease (unless later renewed) in 1989, will have to pay an  
C increased rent on top of their own capital expenditure, and the  
lessors will then be getting a double benefit. The lessors, through  
the mouth of Mr. Price, accept that that is so, but assert that that  
is the result of the bargain which the parties made when the lease  
D was entered into in 1968. It must be remembered that this lease  
was freely negotiated in 1968. It was not entered into as a result  
of any right which the lessees had acquired under the Landlord and  
E Tenant Act 1954.

Two things, at least, are clear. First, these improvements  
became, and are, part of the demised premises. Secondly, all the  
covenants in the lease (including the obligation to pay rent and the  
F maintenance and dilapidations obligations) apply to them. Mr.  
Price's argument accordingly has the great merit of attractive  
simplicity. "Look", he says, "at the demised premises. They  
include the improvements. Ask yourself what is the reasonable rent  
G to be paid for the demised premises, including the improvements.  
The parties used this straightforward language. Effect should be  
given to that language, which is that which the parties chose. And  
if that construction has an untoward result for the lessees, then  
H that is their misfortune."

A           Mr. Justice Whitford rejected this argument for the reasons  
given at pages 16 and 17 of the bundle, saying in effect that the  
independent surveyor is not only entitled to, but must have in mind  
that these improvements were wholly paid for by the tenants, and  
B           that, therefore, it would be unreasonable that the landlords should  
expect not only the ultimate benefit of the improvements, but mean-  
while an increased rent, arising simply because the lessees had  
made them, with the licence of the lessors.

C           In the ultimate analysis I think the question resolves itself  
into this: do the words "reasonable rent" simply mean a rent which  
is reasonable for the demised premises, having regard only to those  
premises and to no other considerations; or do they mean a rent  
D           which is reasonable for the lessors to exact and the lessees to pay,  
having regard to all the circumstances of the case, and, in  
particular, to the relationship between them, the relevant circum-  
stances being that all those improvements were effected at the  
E           lessees' expense?

          It is clear that the parties in drawing up the lease did not  
anticipate that which has happened, and accordingly have not  
F           expressly provided for the event. The court has in those circum-  
stances to determine what intention must be imputed to the parties;  
that is, what is it that as a matter of the construction of the  
words they used in the lease they must be taken to have agreed upon  
G           should this unanticipated event occur. I confess that I shrink  
from imputing to them a result which seems to me so manifestly  
unjust unless either the language used or binding authority compels  
me to do so. Such authority as there is, though entitled to the  
H           greatest respect, does not bind me to come to that conclusion, and

A if that conclusion is to be reached it must be because of the  
language of the lease which I have quoted. If one asks what  
lessees or tenants seeking a licence to make the improvements at  
their own expense which these lessees made, would think that one  
B result would be a contractual liability thereafter to pay an  
increased rent, I unhesitatingly answer "None".

Mr. Nichols prayed in aid two anomalies which would follow  
if the learned judge were wrong. Mr. Price accepted the existence  
C of both these anomalies. First, Section 19 (2) of the Landlord  
and Tenant Act 1927 would have prevented the lessors from exacting  
an increased rent as a condition of granting the licence to which  
I have referred. Secondly, if in 1989 the Landlord and Tenant Act  
D 1954 is still in force and the lessees claim a new lease in accord-  
ance with its provisions, Section 34 (1) (c) of that Act (as amended  
in 1969) would compel a court in fixing the new rent for any future  
E lease to disregard these very improvements which the lessors now  
claim to have taken into account under the rent review clause.  
Thus, if the lessors are right, the rent will be increased from 1975  
to 1989 because of the inclusion of the improvement element, and then  
F be (subject, of course, to any other increases meanwhile due to  
inflation or to any other cause) be reduced from 1989 onwards because  
of the effect of that statute. This latter anomaly clearly  
impressed Mr. Justice Whitford.

G As to the former, it is certainly remarkable that a rent  
review clause can afford so easy an escape route from the fetters by  
which the lessors are bound under the 1927 Act. Clearly in 1969  
when the licence was drafted the lessors could not have exacted this  
H extra rent as the price of granting the lease. But on the lessors'



A argument they can, through the use of the rent review clause,  
obtain, albeit in relation to a later period, exactly the same  
benefit.

B An argument founded upon anomaly is never entirely  
convincing, because where parties have failed to foresee the  
particular event which has happened, and the happening of that  
event has to be fitted into a contractual straightjacket, it is  
likely that anomalies will follow. On the other hand, when there  
C are such anomalies as these - and Mr. Price, as I have already said,  
did not challenge that they existed - I find it difficult to  
impute to the parties an intention to contract in such a way as to  
produce such a result as is contended for by the lessors.

D This consequence can be avoided if one construes the phrase  
"a reasonable rent" as meaning a reasonable rent for the demised  
premises as between the parties concerned, the one to pay, the  
E other to receive: in other words, as something different from the  
open market rent, fixed by, and only by, reference to what the  
independent surveyor thinks a willing lessee would be prepared to  
pay to a willing lessor for the demised premises for the period in  
F question. I accept that in some cases what would be a reasonable  
rent, or what would be a reasonable price for goods sold and  
delivered, should and will be fixed by reference to open market  
considerations and nothing else as between a willing lessor and  
G lessee or a willing buyer and seller; but I know of no rule of  
construction which compels that result in all circumstances, heed-  
less of the factual background against which the parties were  
contracting, which in the present case includes the demised premises  
H in their original unimproved state.

A           That being my impression as a matter of construction, I  
turn to authority to see whether that suggests a different  
conclusion. By far the strongest support against the view which  
B I am inclined to accept as a matter of construction is in the  
unreported decision of Mr. Justice Megarry in Guff -v- J. & F.  
Stone Property Company Ltd., decided on the 13th December, 1973  
(to which Mr. Justice Whitford's attention was not drawn), where  
C the relevant words were identical, though the factual background  
was different. Beyond all doubt the reasoning of the learned  
judge, which on a matter of this kind is entitled to the greatest  
weight and respect, is opposed to the view that I am inclined to  
D take as a matter of the construction of the present lease. But  
I regard the different factual background as important. First,  
the improvements there in question had been made some twelve years  
before the date of the lease, and therefore the phrase "the demised  
E premises" in the lease clearly included at the date of its execution  
those premises as improved twelve years earlier. Secondly, the  
lease had been entered into following an application to the court  
under the 1954 Act at a rental, and for a period of fourteen years  
F (including a rent review clause operative at seven years), all fixed  
by the court, though it seems from the learned judge's judgment  
that the terms of the new lease, including the actual terms of the  
rent review clause in question, had been a matter of direct  
G negotiation between the parties. Thirdly, counsel for the lessors  
appears to have conceded (see the judgment at page 4) that those  
improvements were not simply to be disregarded, a concession the  
correctness of which I respectfully question (though Mr. Justice  
H Megarry did not) having regard to the wide terms of Section 34 (1) (e)

A and Section 34 (2) of the 1954 Act. One wonders whether had that  
concession not been made the learned judge would necessarily have  
reached the same conclusion, since the fact that it was made, to  
my mind, affected the factual background against which the crucial  
B words had to be construed. If that construction had had to be  
approached upon the footing that the improvements in question had  
to be disregarded - as presumably they had been disregarded in  
accordance with the statute - when the court fixed the first rent  
C of £2,400 the learned judge might, though I do not presume to say  
would, have arrived at a different conclusion. But whether or not  
this is right, I must and do, accept that the concluding paragraph  
in the learned judge's judgment suggests an approach to the  
D construction of the relevant words different from that which I am  
disposed to take of the matter of the construction of the present  
lease. I naturally hesitate to differ from Mr. Justice Megarry on  
a matter of this kind. Moreover, I do not think, with all respect  
E to his view to the contrary, that an experienced surveyor would  
find it difficult to make the appropriate exclusions when arriving  
at what he regarded as the appropriate figure for a reasonable rent.  
F On the other hand, the decision of this court in John Kay Ltd.  
-v- Kay (1952 2 Q.B. p.258), to which Mr. Justice Megarry referred,  
but which he distinguished, does emphasise the difference between a  
market rent and a reasonable rent, which latter rent it was which  
G was before the court on that occasion, albeit in the very different  
context of a statute long since repealed, namely, Section 18 of the  
Leasehold Property (Temporary Provisions) Act 1951. The relevant  
passages are in the judgment of Sir Raymond Evershed, then Master of  
H the Rolls, at pages 266 and 267, and of Lord Justice Jenkins (as he

A then was) at pages 275 and 276. In the former passage the Master  
of the Rolls said: "I have referred to the conception of  
'reasonableness', and he would indeed be a bold judge who tried to  
B formulate with precision the significance that the word implies.  
One is inevitably, sooner or later, thrown back upon generalities  
of the kind I have already quoted from Lord Greene, M.R. This much  
must be clear: the standard is that which is regarded as reasonable  
C by the judge who tries the case, and which is or may be something  
distinct from standards which may be found to be appropriate by  
applying other tests." Then on page 267 he said: "The market  
value of certain premises is one thing, and as I read this Act it  
D seems to me that the 'reasonable' rent may be something different.  
The reasonable rent is arrived at by applying the subjective test of  
what the judge thinks is right and fair, as distinct, for example,  
from the objective test of what the evidence shows is the market  
E value."

Lord Justice Jenkins, in the first of the passages to which  
I have referred, at page 275, says: "I cannot agree that 'such rent  
as the court in all the circumstances thinks reasonable' means the  
F rent which the property would fetch if put up in the open market as  
property to let. If that had been intended by the legislature, I  
cannot but feel that the section would have been framed in very  
different language." Then on page 276 he said: "In my view that  
G form of words" - that is the form of words in the statute - "was  
plainly used with the intention of giving the court the greatest  
latitude in the matter and not tying it down to the figure found to  
represent the actual contemporary letting value in the open market."  
H Finally, on page 277 he said: "If the only power the court had was

A to ascertain and fix the open market rent as the reasonable rent  
to be paid under a new tenancy, plainly this legislation, so far  
as it is concerned with shop tenants, would be in a great measure  
defeated, because the whole difficulty which has to be met is that,  
B in conditions of scarcity, the open market value may be forced up  
to a point which does exceed all reason."

C This decision is, of course, in no way conclusive of the  
present case, for it is a decision upon a statute quite differently  
expressed from the language of the present lease, but it does  
suggest that it may in some contexts be legitimate in fixing a  
reasonable rent not just to look at the open market rent, but to  
look at what is reasonable between the parties themselves; what is  
D reasonable for the particular lessor to exact and the particular  
lessee to be required to pay.

E Accordingly, seeing the anomalies to which the contrary view  
gives rise, and the inherently unjust result (as I think) of  
allowing the lessors to receive extra rent from the lessees in  
respect of improvements for which the lessees alone have paid, I do  
not feel compelled to yield to Mr. Price's excellent arguments.  
F In reaching this conclusion I am conscious of the strength of the  
opposite view which appeals to my Lords, and I am naturally most  
hesitant in not following Mr. Justice Megarry's reasoning in a field  
in which he is so expert. Nevertheless, as a matter of the  
G construction of this lease I find myself in complete agreement with  
the conclusion of Mr. Justice Whitford, and I would dismiss the  
appeal. But, as I understand Sir Gordon Willmer agrees with my  
H Lord, the order of the court must be as they propose.

A **SIR GORDON WILLMER:** My Lords have put me in an embarrassing position.

B As a casual visitor to the court I find myself in the position of having to give the casting vote which will determine the outcome of the appeal. As Lord Justice Roskill has just said, the view which I have taken is in agreement with that of Lord Justice Cairns. Therefore, in my judgment, this appeal should be allowed.

C Like Lord Justice Cairns, I have reached this conclusion with regret, for I am fully conscious of the fact that prima facie the result may seem to be very unfair on the lessees, who have made the improvements to the premises and paid for them for the ultimate benefit of the lessors, and now are invited in addition to their previous expense to pay a rent which will take into consideration the very improvements which they themselves have made. I am also conscious that this decision may be full of possible anomalies at the end of the 21 years term if there should then be an application for a new lease, in which case, by statute, the value of the improvements will fall to be excluded. But I do not think emotive considerations such as these help in the solution of the problem with which we are faced.

F This case, in my judgment, turns upon a pure question of construction of those few words in the lease to which my Lord has already referred. I have come to the conclusion that these words which have to be construed, namely, "a reasonable rent for the demised premises", are too strong and too clear to leave room for the argument put forward on behalf of the lessees. I need not read Clause 3 of the licence again; all I desire to say is that it does make it quite clear that the improvements which have been added at the expense of the defendants are now part of the demised premises.

A           Our attention has been drawn, as both my Lords have stated,  
to the decision of Mr. Justice Megarry in the unreported case of  
B           Guff -v- J. & F. Stone Property Company Ltd. where these very same  
words were construed by him. I agree that the background facts in  
that case were in certain respects materially different from the  
background facts in the present case. But the reasoning which  
impelled Mr. Justice Megarry to his conclusion seems to me to be  
abundantly applicable to the circumstances of the present case.  
C           What Mr. Justice Megarry said has already been read, and I need not  
read it all again, but I do stress that at the very end of his  
judgment he made this remark: "The question is not that of the  
D           rent 'which it would be reasonable for the tenant to pay', but that  
of 'a reasonable rent for the demised premises'"; that is to say,  
the premises which now include the improvements. I prefer the  
reasoning of Mr. Justice Megarry in that case to that of Mr. Justice  
E           Whitford in the present case. It may be that if Mr. Justice  
Whitford had had the advantage of seeing Mr. Justice Megarry's judg-  
ment, as we have, he might have come to a different conclusion.

          As I see it, therefore, the question is not as to the  
F           reasonableness of the rent as between these two particular parties,  
but what is a reasonable rent for the premises; that is to say,  
it is a question to be approached objectively. I venture to stress  
that point, because it is not impossible that at some time in the  
G           future this lease may be assigned. That is certainly a matter in  
the contemplation of the parties, because there is a clause in the  
lease which deals with that possibility. Is it to be said that a  
possible assignee would be in any way concerned with circumstances  
H           peculiar to these two particular parties who are before us now?

A What he would be concerned with would be to pay a reasonable rent  
for the demised premises. As has been pointed out, the demised  
premises include the additions and improvements in accordance with  
the licence which is stated to be applicable to the premises,  
B "when and as altered". That, as has been said, means that the  
demised premises now include these alterations and additions, and  
it is for that that a reasonable rent is to be paid. As I said  
before, I find those simple words too strong and too compelling to  
C give room for the argument on behalf of the lessees.

That being so, I join with Lord Justice Cairns in the view  
that this appeal should be allowed.

D

(Appeal allowed, with costs in the court  
of appeal and below. Leave to appeal  
to the House of Lords on condition that  
rent is paid at the rate of £20,000 a  
E year until it is decided not to appeal or  
the appeal is dealt with, subject to the  
undertaking that if the rent is found to  
be excessive it will be repaid.)

F

G

H